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Office of the President

TO MEMBERS OF THE ACADEMIC AND STUDENT AFFAIRS COMMITTEE AND THE FINANCE AND CAPITAL STRATEGIES COMMITTEE:

DISCUSSION ITEM

For Meeting of March 15, 2023

OVERVIEW OF UNIVERSITY-PROVIDED STUDENT HOUSING

EXECUTIVE SUMMARY

Demand for affordable student housing at the University of California is a priority throughout the system. Campuses assess and implement the most cost-effective methods to provide new housing. There are various options for developing housing, which include campus delivery and public private partnerships (or P3s). Throughout the system, the goal is to provide rents that are below the local market rate, while demonstrating financial feasibility under challenging conditions. New students receive information about the housing application process upon completing the Statement of Intent to Register (SIR). Application deadlines vary by campus but typically fall within several days after the final SIR deadline. For students experiencing housing insecurity, the primary forms of campus-based support focus on housing vouchers, emergency on-campus housing, financial assistance, and case management.

BACKGROUND

The University of California's goal is to meet the demand for student housing while providing options that meet the varied needs of the student population.

The diversity of the campus housing inventory varies. Students can choose from several on-campus housing options, all of which encourage discovery and emphasize community. These include classic/traditional residence halls, themed or affinity-based halls or floors, apartments, and family housing.

Context

Since the fall of 2011 UC has added over 34,000 beds (see table 1 below).[1]

[1] In 2016, UC began a housing initiative with a goal to add 14,000 beds by the fall of 2020. Through this initiative, UC added 15,021 beds (fall 2016 to fall 2020).

Table 1: Completion of New Beds: Fall 2011 to Fall 2022

Campus	Fall 2011-2015	Fall 2016	Fall 2017	Fall 2018	Fall 2019	Fall 2020	Fall 2021	Fall 2022
Berkeley	410			781				145
Davis	1,918		500		140	1,000	2,600	
Irvine	-	932			1,934			1,055
Los Angeles	1,896				140		1,791	3,438
Merced	576			712		1,000		
Riverside	800					820	1,506	
San Diego	2,649		1,179			4,172		
San Francisco	-				708			
Santa Barbara	666		1,003					
Santa Cruz	-							
Total by Year(s)	**8,915**	**932**	**2,682**	**1,493**	**2,922**	**6,992**	**5,897**	**4,638**
Fall 2011 to Fall 2021: 34,471 beds								

Fall 2022 Capacity

Table 2 reflects the number of students who were housed in UC housing in fall 2022, by campus, and as a percentage of enrollment. Systemwide, UC currently houses over 113,000 students, or about 38 percent of enrollment. As reflected in the table, there are variances between the campuses, with Los Angeles housing 49 percent to Berkeley housing 21 percent of students.

Table 2: Fall 2022 Capacity / Occupancy

Campus	Capacity / Occupancy[2]			Enrollment[3]	
	Capacity	Occupancy			
Berkeley	9,800	9,695	99%	45,268	21%
Davis	13,613	13,608	100%	39,663	34%
Irvine	16,622	16,455	99%	35,916	46%
Los Angeles	20,784	22,519	108%	46,417	49%
Merced	4,367	4,086	94%	9,098	45%

[2] Capacity is the number of beds a space is designed to accommodate. Occupancy is the actual number of beds in the space.
[3] Fall enrollment at a glance, https://www.universityofcalifornia.edu/about-us/information-center/fall-enrollment-glance and University of California Washington Center (UCDC).

Campus	Capacity / Occupancy[2]			Enrollment[3]	
	Capacity	Occupancy			
Riverside	8,597	8,493	99%	26,800	32%
San Diego	18,022	17,906	99%	41,995	43%
San Francisco	773	738	95%	3,140	24%
Santa Barbara	8,829	10,221	116%	26,402	39%
Santa Cruz	7,058	9,168	130%	19,457	47%
UCDC	276	164	59%	153	100%
Total	**108,741**	**113,053**	**104%**	**294,309**	**38%**

Future Beds

Several campuses recently updated their Long Range Development Plans (LRDPs), addressing housing demand by proposing considerably more housing than in previous LRDPs. Current plans include the addition of close to 22,000 student beds between fall 2023 and fall 2028 (see table 3 below). An additional 16,000 beds are in the early planning stage, with funding plans for construction to be determined. If the University can identify and finalize funding for these beds, the number of future beds could reach close to 38,000.

Table 3: Planned Future Beds

Campus	Planned Opening Dates					
	Fall 2023	Fall 2024	Fall 2025	Fall 2026	Fall 2027	Fall 2028
Berkeley		1,530	1,100		1,000	1,900
Davis	1,500				400*	
Irvine	1,077		300			
Los Angeles				442		
Merced				1,210*		
Riverside			1,553			
San Diego	2,050	1,310	2,444			
San Francisco						
Santa Barbara			3,500			
Santa Cruz	185		440			
UCDC						
Total	**4,812**	**2,840**	**9,337**	**1,652**	**1,400**	**1,900**
	Potential Beds Coming Online Fall 2022 to Fall 2028: 21,941					

* Project implementation assumes receipt of State housing grant funds

Challenges

The State of California has some of the highest housing costs in the country. The University recognizes this challenge and provides housing opportunities that are generally at least 20 percent below market rate. The supply of beds despite new inventory has not been able to keep up with the demand and increased enrollment. Additional factors faced in the development of student housing that contribute to delays and the resulting higher costs include:

Community Opposition and the California Environmental Quality Act (CEQA)

- Local jurisdictions, neighborhood groups, and labor unions use CEQA litigation as a tool to limit campus growth and obtain concessions not typically available through the CEQA process.
- CEQA litigation creates significant delay for delivery of housing projects, while the threat of CEQA litigation and its inherent unpredictability slows the housing project entitlement process.
- Since 2018, seven housing projects have been challenged by CEQA litigation, with approximately 4,100 beds still affected by ongoing litigation.

Increasing Costs and Labor/Supply-Chain Constraints

- Inflation, labor shortages, and supply chain issues have significantly affected the cost and feasibility of approved and proposed housing projects.
- Aging buildings and infrastructure require investment to meet current needs.

Funding Resources

The limited availability of funding can present a barrier to the construction of student housing. Campuses evaluate projects in the pre-development stages to determine the most appropriate funding source(s) for a proposed project. Capital projects are supported by long-term debt (external financing) and housing reserves. More recently, State funds from the Higher Education Student Housing Grant program have funded housing projects for low-income students. Campuses can also form a partnership and implement housing projects using a public private partnership.

Student Rental Rates

Housing rents are set by individual campuses. Each campus has housing departments that manage their housing demand in accordance with specific campus requirements.

Campuses set rates to be below market while ensuring the long-term viability of their existing housing stock. The campus housing departments need adequate resources to maintain the existing inventory and pursue additional development and acquisition opportunities. Rents will continue to face some upward pressure to cover the inflationary cost increases of associated

housing operations (i.e., employee salaries and benefits, utilities, renewal) and other maintenance needs.

For low- and middle-income students, the University financial aid programs account for the total cost of attendance, including housing. Each year, the estimated total cost of attendance is updated for on-campus students using the average rent and meal plans on each campus. Students receive a combination of grants, scholarships, loan, and work-study to cover expenses beyond tuition. Students with financial aid use those funds to pay for their on-campus housing and meal plans, as well as tuition, and receive anything that exceeds those direct charges to pay for other educational costs, like books and supplies. Because the State of California's Cal Grant program so generously covers tuition for low- and middle-income students, roughly 70 percent of UC's own need-based grant is available to pay for costs like living expenses, personal expenses, transportation, and books and supplies.

Applying to University-Provided Housing

Introductory information about student housing at UC campuses for new first-year and transfer students is posted on campus-specific pages within the UC admissions website. Each provides detailed information on available housing options, rates, and the application process and timeline. In addition, the UC admissions website provides estimated cost-of-attendance information for California residents and nonresidents that includes housing and meal expenses for students living on or off campus. Upon completing the Statement of Intent to Register (SIR), students will receive information about the housing application process and deadlines from the campus student housing department. Application deadlines vary by campus but typically fall within several days after the final SIR deadline. Once they submit their housing application, students receive updates confirming their housing status, including whether they are on a waitlist. For fall admits (including new first-year, transfer, and graduate/professional students), a student's specific housing assignment, including roommate information, is communicated between June and August, depending on whether they attend a quarter or semester campus.

Students who indicate their intention to live off campus and those whose names have been placed on a campus housing waitlist (once on-campus spaces are full) have several resources to facilitate their search for off-campus housing. Examples include rental listings, renters' workshop training sessions, and sample rental application and agreement forms. Additional services are offered to students who cannot find a place to live or otherwise experience housing insecurity.

Supporting Housing-Insecure Students

According to the 2022 UC Undergraduate Experience Survey (UCUES), eight percent of undergraduates reported having lacked a safe, regular, and adequate nighttime place to stay and sleep for any length of time. Data from the 2021 Graduate Student Experience Survey

(UCGSES) show that three percent of graduate students reported the same[4]. Housing shortages and the rising cost of living[5] have made housing a challenge for students to navigate, particularly in light of decreased emergency programs related to COVID-19.

The Budget Act of 2022 (Assembly Bill 179) allocated $15 million to address student food and housing insecurity, or "basic needs," and $3.5 million specifically for rapid rehousing efforts at UC. These State funds have provided UC campuses with vital, sustained emergency assistance for housing-insecure and homeless students. Habitable, secure and safe housing is as critical to student well-being as proper nutrition. Primary forms of campus-based support focus on housing vouchers, emergency on-campus housing, financial assistance, and case management. Campus basic needs staff and peer educators also offer workshops and training sessions on navigating rental searches, lease agreements, and roommate matching while campus administrators have made progress in determining how to utilize State housing grants to build more housing. While developing the infrastructure to track housing data is a point of growth, nine UC campuses were able to estimate the number of students who secured permanent housing after receiving basic needs housing services at a collective total of 2,913 during the 2021-22 academic year.

Campuses may use different strategies to reach students who are experiencing housing insecurity and to raise awareness about basic needs resources available to them on campus. These strategies include social media outreach, faculty and staff education, virtual events and workshops to raise awareness about tools for meeting basic needs, education sessions during first-year orientations, and peer-to-peer outreach. Other messaging strategies include circulating campus newsletters, distributing health promotion items like shower kits, and reaching out with surveys to assess basic needs status/levels among students. Additionally, several campuses conduct student outreach through partnerships with various campus administrators and departments: deans of students, campus multicultural centers, counseling and psychological centers, Financial Aid offices, and health promotion offices.

Connecting students to housing resources requires the efforts of teams comprising campus basic needs staff, case managers, housing staff, and financial aid staff. These teams develop workflows and strategies to provide wraparound support for housing-insecure students. In addition, most campuses have on-campus case managers who assist students with finding temporary or permanent housing.

[4] Data pulled from the Institutional and Academic Planning Student Basic Needs Dashboard https://www.universityofcalifornia.edu/infocenter/student-basic-needs
[5] U.S. Bureau of Labor Statistics, 12-month percentage change, Consumer Price Index, selected categories, https://www.bls.gov/charts/consumer-price-index/consumer-price-index-by-category-line-chart.htm

NEXT STEPS

The lack of affordable housing is a problem in California and the nation. The University of California is working diligently to identify ways to support students with their housing. The University continues to access sources of funding to help with the development of affordable housing for UC's student population.

The University was successful in its application through the State of California's 2022-23 Higher Education Student Housing Grant program, receiving $389 million for the construction of beds to support the lowest-income students. The University's 2023-24 request totals nearly $500 million, representing the most urgent housing needs for four UC campuses. UC's totals exceed the level of funding the State proposed to be directed to the University.

The University continues to track the status of the State's proposed California Student Housing Revolving Loan Fund. This fund would provide zero-interest loans to the University of California, California State University, and California Community Colleges for the construction of student housing and, as specified, faculty and staff housing. Despite the State's current budget challenges, the University will continue to seek ways to partner with the Governor and Legislature to construct the much-needed student housing.

CEQA litigation and the threat of CEQA litigation continue to create delay and financial challenges for the construction of student housing. The University will continue to support legislation that streamlines the CEQA process for student housing or reforms the CEQA litigation process to curtail abuse. The University continues to strengthen partnerships with local communities to address concerns early in the planning process and in alignment with UC's mission.

KEY TO ACRONYMS

CEQA	California Environmental Quality Act
LRDP	Long Range Development Plan
P3	public private partnership
SIR	Statement of Intent to Register
UCGSES	UC Graduate Student Experience Survey
UCUES	UC Undergraduate Experience Survey